

Studio auction could recast industry

Paramount, Comcast and Netflix all have different interests in giant Warner Bros.

By MEG JAMES

Now, the real jockeying begins for the future of Warner Bros. Discovery. Paramount, Comcast and Netflix each submitted proposals for all or parts of the storied media giant by Thursday's deadline, according to people familiar with the process but not authorized to speak publicly. The nonbinding bids mark the completion of the auction's first phase, accelerating the potential sale of some of the best-known brands in entertainment, including HBO, CNN and Warner Bros. film and television studios.

Warner Bros. Discovery Chief Executive David Zaslav and the company's board unanimously rejected three earlier overtures from Paramount's David Ellison, including a largely cash offer of \$23.50 a share, deeming it too low. Thursday's entry of new bidders could boost the value of the struggling media company to more than \$60 billion.

Analysts say Paramount should have an edge because its bid is backed by David Ellison's father, Larry, who is among the top five billionaires in the world. But it's not a sure bet that Paramount will come away with the prize.

"I don't know that I'm calling a horse," Julie Clark, senior vice president of media and entertainment at information firm TransUnion, said Wednesday. "They all have a lot to gain — and a lot to lose."

Warner's board wants to pick a preferred partner by year's end, in part to determine whether it should con-

[See Warner Bros., A12]



Photographs by GINA FERAZZI Los Angeles Times

WIND GUSTS, top, send glowing embers into the air, fueling the deadly Eaton fire in January. A firefighter, above, approaches a burning home in Altadena.

Officials knew west Altadena at risk hours earlier

A new report raises fresh questions about why evacuations were ordered so late Jan. 8.

By GRACE TOOHEY, TERRY CASTLEMAN AND HANNAH FRY

The Eaton fire was marching toward west Altadena even earlier than previously believed, a state-commissioned report confirmed this week, raising further questions about why it took L.A. County officials so long to order evacuations in the neighborhood where 18 people died.

The fire erupted Jan. 7 at 6:18 p.m., fueled by hurricane-force Santa Ana winds that pushed flames into neighborhoods with great speed. Within about an hour, the county issued evacuation orders for many of the foothill communities near the fire's origin, including the eastern side of Altadena. But as The Times first reported in January, evacuation orders were not issued for west Altadena until after 3 a.m., well after the fire had threatened the area. Evacuation warnings for the area never went out.

All but one of the Eaton fire's 19 deaths occurred in west Altadena.

The Fire Safety Research

Institute report, released Thursday morning, doesn't analyze why alerts were delayed, but provides the most detailed timeline yet of the night of the fire, including new timestamps that show there were signs the fire was moving toward west Altadena almost six hours before the area received any evacuation alert.

The report notes that there was "fire spread to the west" as early as 9:30 p.m. on Jan. 7, pointing to several spot fires west of the origin.

By 10:22 p.m., and through the next hour, there were multiple radio calls reporting the fire was spreading west toward North Lake Avenue, the report said. Just before 11 p.m., as The Times has previously reported, there were signs of flames in west Altadena — more than four hours before officials issued evacuation orders for that area.

The report states that winds shifted just after 11 p.m., which "could have assisted in spreading flames that had reached the foothills and the northeastern section of Altadena to the south and west throughout Altadena in the earlier hours of Jan. 8, 2025."

Several fire officials previously told The Times that they were not aware of wind shifting to the west until around 2 a.m., but the report

[See Eaton, A14]

AI boom inflates fears of a bust

The artificial intelligence boom seems unstoppable, but a growing number of investors and other observers worry it could be a bubble about to burst.

After skyrocketing more than 50% from April lows, the tech-heavy Nasdaq composite experienced a decline of close to 5% this month. Investors are concerned it could take longer than expected to see big profits from the trillions of dollars they've poured into technology's next wave.

Those who have been around long enough say some of the enthusiasm feels like the dot-com boom and bust of the turn of the century. Optimists

Investors worry about returns as tech giants' big spending draws comparisons to the dot-com era

By QUEENIE WONG AND NILESH CHRISTOPHER

say this time is different.

AI chipmaker Nvidia has led the stock market rally, becoming the world's most valuable company on the back of the AI enthusiasm. The Santa Clara-based company makes specialized computer chips that tech companies use for AI model training, data centers, robotics and more.

AI bulls and bears waited to hear what Nvidia had to say about the state of the business in its quarterly earnings report on Wednesday. The company helped keep the hope alive by announcing that its profit as well as its outlook on the future were bet-

[See AI boom, A12]

Trump faces looming health cost rise

With Obamacare tax credits ending Jan. 1, Republicans scramble to find a path forward.

By MICHAEL WILNER

WASHINGTON — Republicans won a significant political victory this month when moderate Senate Democrats joined them to end the longest government shutdown in U.S. history, relenting from a showdown over the rising costs of healthcare.

But the fight is already back on, with mere weeks to spare before the Trump administration faces a potential uproar from the public over the expiration of Affordable Care Act tax credits on New Year's Day, when premium costs will skyrocket.

The fast-approaching deadline, coupled with stinging defeats in elections this month driven by voter concerns over affordability, prompted a series of crisis meetings in the West Wing over a path forward on Capitol Hill.

The White House response that emerged this week is a political Hail Mary for an increasingly divided party entering an election year: a second megabill, deploying the parliamentary tool of reconciliation, addressing not just healthcare costs but Trump's tariff policies under intense scrutiny at the Supreme Court.

"We're going to have the healthcare conversation. We're going to put some legislation forward," White House Deputy Chief of Staff James Blair said Tuesday, addressing a breakfast event hosted by Bloomberg Government, as House Republican leaders pitched the plan to their members in a closed-door meeting.

"The president probably

[See Healthcare, A14]



KAYLA BARTKOWSKI Los Angeles Times

AUTOMATED license plate readers at L.A.'s Washington and La Cienega boulevards on Thursday.

Feds monitoring, detaining drivers

A secretive Border Patrol program is focused on 'suspicious' travel patterns in U.S.

By BYRON TAU AND GARANCE BURKE

The U.S. Border Patrol is monitoring millions of American drivers nationwide in a secretive program to identify and detain people whose travel patterns it deems suspicious, the Associated Press learned.

The predictive intelligence program has resulted in people being stopped, searched and in some cases arrested. A network of cameras scans and records vehicle license plate information, and an algorithm flags vehicles deemed suspicious based on where they came from, where they were going

and which route they took. Federal agents in turn may then flag local law enforcement.

Suddenly, drivers find themselves pulled over — often for reasons cited such as speeding, failure to signal, the wrong window tint or even a dangling air freshener blocking the view. They are then aggressively questioned and searched, with no inkling that the roads they drove put them on law enforcement's radar.

Once limited to policing the nation's boundaries, the Border Patrol has built a surveillance system stretching into the country's interior or that can monitor ordinary Americans' daily actions and connections for anomalies instead of simply targeting wanted suspects. Started about a decade ago to fight illegal border-related activities and the traf-

[See Surveillance, A8]

Fast food struggles with a loss of low-income patrons

By SUHAUNA HUSSAIN

In the early 2000s — amid slowing sales growth and tumbling stock prices — McDonald's orchestrated a major turnaround with the introduction of its Dollar Menu.

By marketing primarily to low-income consumers who valued getting the most bang for their buck, the fast-food giant saw a 33% increase in revenue.

With the economic uncertainty now gripping a wide swath of America, however, that strategy may no longer be a winning one.

Industrywide, fast-food restaurants have seen traffic from low-income households — a core customer base — drop by double digits, McDonald's Chief Executive Christopher Kempczinski told investors last week.

The struggle of the Golden Arches in particular — long synonymous with cheap food for the masses — reflects a larger trend upending the consumer economy and makes "affordability" a hot policy topic, experts say.

McDonald's executives say that the higher costs of restaurant essentials, such as beef, and rising employee

salaries have forced the company to increase its prices, driving away customers who are being squeezed by the cost of groceries, clothes, rent and child care.

With prices for seemingly everything going up, companies in the food, automotive and airline sectors, among others, are concerned about the pressures on low-income Americans, analyst Adam Josephson said.

"The list goes on and on," he said. "Happy Meals at McDonald's are prohibitively expensive for some people, because there's been so much inflation."

[See Food, A11]

CDC alters pages on shots, autism

Agency replaces its own research into the safety of vaccines with false statements. **NATION, A6**

Ex-Google chief accused of spying

Eric Schmidt hacked into emails and files, former partner's suit alleges. **BUSINESS, A10**

Weather

Some showers. L.A. Basin: 65/53. **B6**

Markets **A12**
Opinion Voices **A13**



KAYLA BARTKOWSKI Los Angeles Times

A PLAN FOR NEW DRILLING

The Trump administration has announced plans to open the Pacific to new oil and gas leases, a first in more than four decades. **CALIFORNIA, B1**